

Ania's Coffee Cart

An illustrated guide to the basic accounting conventions,
or how to remember what you read, hear and practise when you study accounting

Ania opens a coffee cart and runs it for one month. One small business, 13 accounting entries: from everyday transactions to month-end adjustments, and where each one lands on the balance sheet, income statement and cash flow statement.

How can a business make 2,075 zł in profit
and end the month with 10,200 zł in cash?

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Jump to strip: 1 2 3 4 5 6 7 8 9 10 11 12 13

Simplified educational example. VAT and income tax are excluded. Actual accounting requirements depend on the business structure and reporting framework.

12 accounting ideas to keep in mind

Not all of these are formal rules, but together they explain how the numbers are built. They answer four simple questions.

1 Whose money?



Business entity

The business and the owner are separate. Keep their money apart.

see strip 1 →

2 When do we recognise it?



Accruals

Profit is revenue earned minus expenses used up, not cash in minus cash out.

see strip 13 →



Revenue recognition

Count revenue when you have earned it by delivering the goods or service.

see strip 7 →



Matching

Put expenses in the same period as the revenue they helped earn.

see strip 6 →



Reporting period

Chop the life of a business into months or years so you can report on each one.

see strip 11 →

12 accounting ideas, continued

3 How do we measure it?



Historic cost

Record things at what you actually paid.

see strip 3 →



Prudence

Use caution when estimates are uncertain. Don't deliberately overstate or understate the numbers.



Materiality

Small amounts that would not change anyone's decision can be handled the simple way.



Money measurement

Only things you can measure in money go in the books.

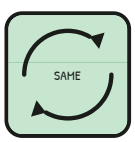
4 How do we keep the records meaningful?



Dual aspect

Every transaction has two sides, so A = L + E always balances.

see strip 2 →



Consistency

Apply accounting policies consistently unless there's a valid reason to change them, so periods can be compared.



Going concern

Assume the business will continue operating rather than being liquidated.

see strip 12 →

Debit & credit

Debit and credit mean LEFT and RIGHT. Not money in and money out.

Every entry has a left side (Dr) and a right side (Cr), and they must be equal. That is why A = L + E always balances.

Dr
Debit = the left side
Polish: Wn (Winien) · Russian: Дт (дебет)

Cr
Credit = the right side
Polish: Ma · Russian: Кт (кредит)

ACCOUNT TYPE	GOES UP WITH	GOES DOWN WITH	ENDS UP ON
Assets (cash, inventory, machine)	Dr	Cr	Balance sheet
Expenses (rent, wages)	Dr	Cr	Income statement
Liabilities (loan, unpaid bills)	Cr	Dr	Balance sheet
Equity (owner's capital)	Cr	Dr	Balance sheet
Revenue (sales)	Cr	Dr	Income statement

`Dr Cash 10,000`	Cash is an asset. It goes up, so it is a debit.
`Cr Owner's capital 10,000`	Capital is equity. It goes up, so it is a credit. 10,000 = 10,000, so the entry balances.

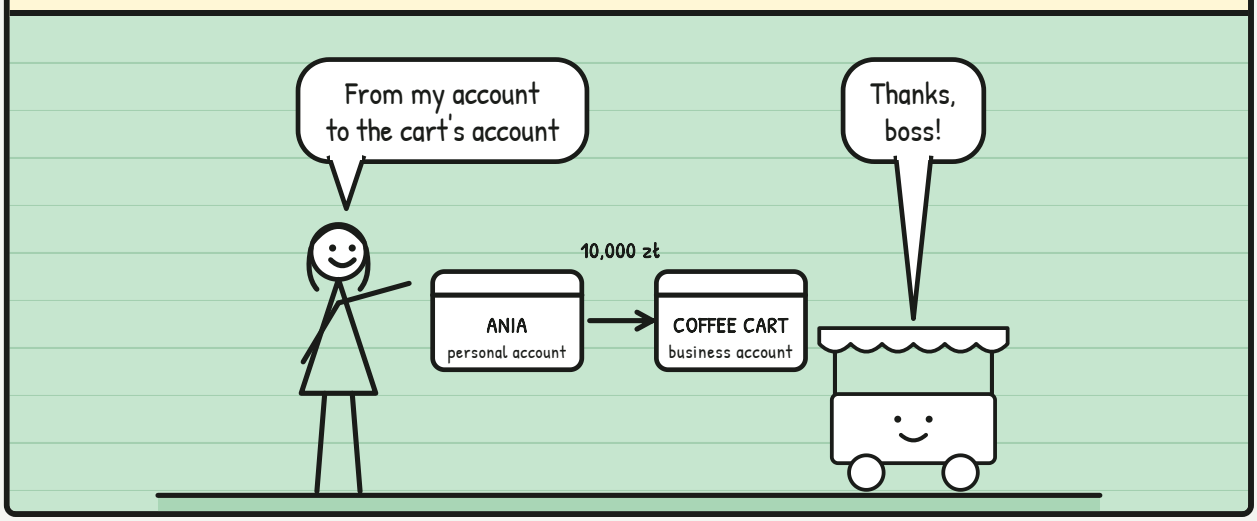
That is strip 1, read out loud. Statements never print “Dr” or “Cr”: each account's final balance simply becomes one line.

Memory trick: DEALER D E A grow with Dr L E R grow with Cr

Opening the business account

PRINCIPLE: BUSINESS ENTITY CONVENTION

Day 1. Ania moves 10,000 zł of her own savings into a new bank account opened just for the cart.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr	Cash	10,000
Cr	Owner's capital	10,000

WATCH OUT

Ania's groceries are not cart expenses. Mixing personal and business money breaks this rule.

WHERE IT LANDS

In short: cash changes, profit doesn't

BALANCE SHEET

Cash +10,000 · Owner's capital +10,000

INCOME STATEMENT

no change

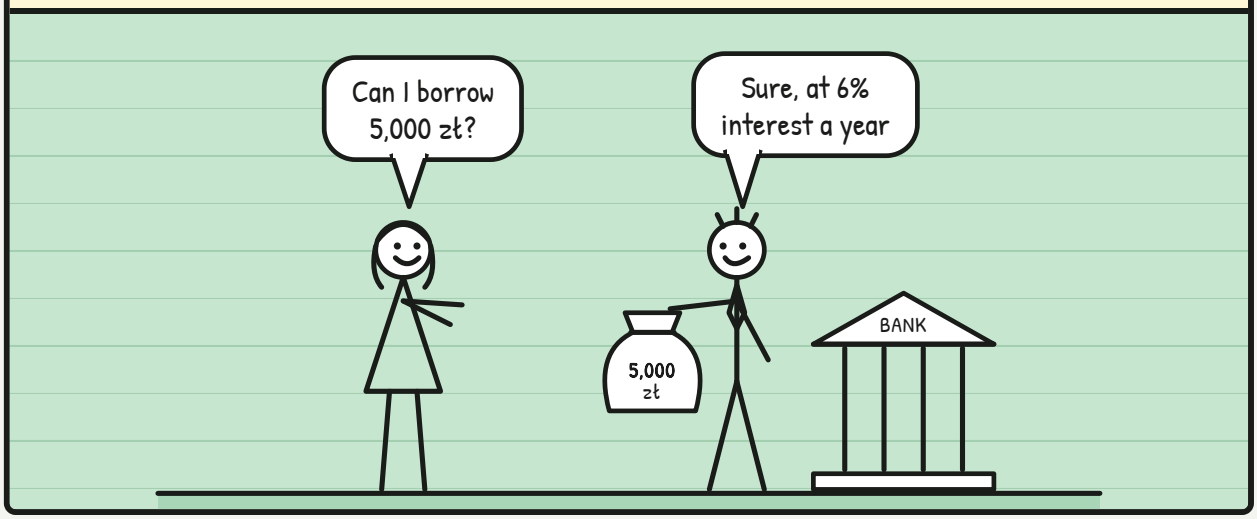
CASH FLOW

Financing activities — owner's investment: +10,000 zł

Borrowing from the bank

PRINCIPLE: DUAL ASPECT CONVENTION

Day 2. Savings won't be enough, so Ania borrows 5,000 zł from the bank at 6% interest a year.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr Cash	5,000
Cr Bank loan	5,000

WATCH OUT

A loan is not income. Borrowed money must be paid back, so it is a liability, never revenue. And no interest is recorded today: interest builds up over time and is recorded at the end of each month (see strip 13).

WHERE IT LANDS

In short: cash changes, profit doesn't

BALANCE SHEET

Cash +5,000 · Bank loan +5,000

INCOME STATEMENT

no change

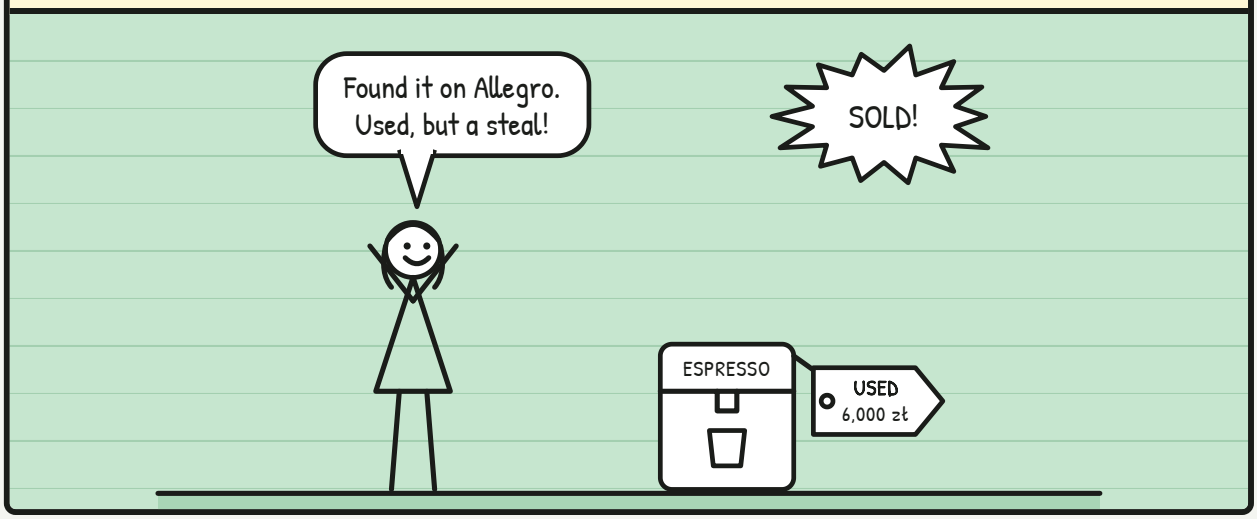
CASH FLOW

Financing activities — bank loan received: +5,000 zł

Buying the espresso machine

PRINCIPLE: HISTORIC COST CONVENTION

Day 3. Ania finds a good second-hand espresso machine on Allegro and pays 6,000 zł from the cart's account.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr	Equipment	6,000
Cr	Cash	6,000

WATCH OUT

Don't record it at what you think it's worth ("it's a bargain, it's really worth 8,000"). Record what you paid.

WHERE IT LANDS

In short: cash changes, profit doesn't

BALANCE SHEET

Cash −6,000 · Equipment (PPE) +6,000

INCOME STATEMENT

no change

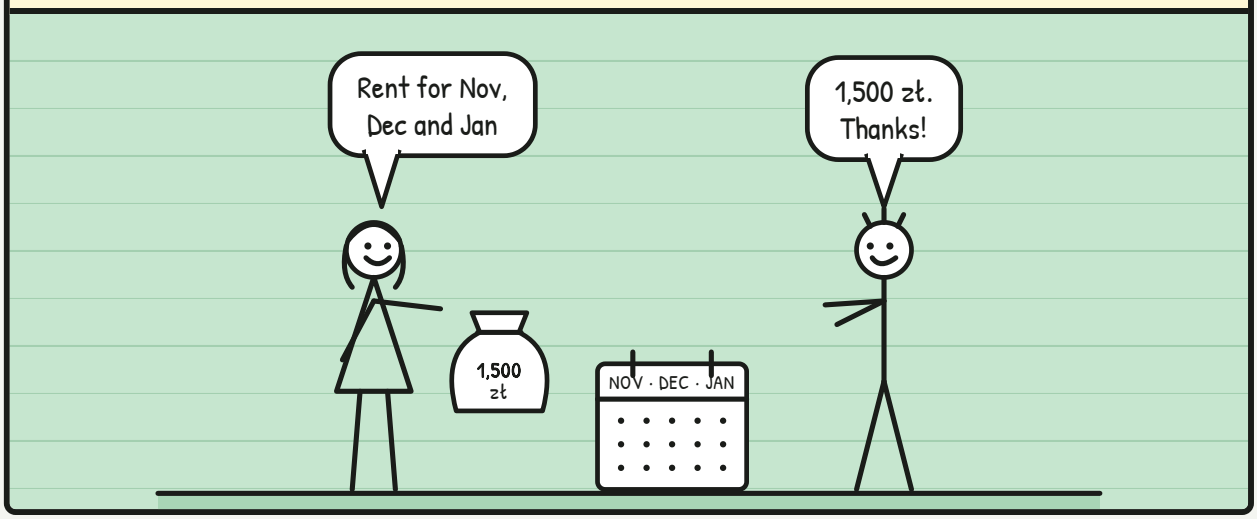
CASH FLOW

Investing activities — purchase of equipment: −6,000 zł

Paying rent three months ahead

PRINCIPLE: ACCRUALS CONVENTION

Day 4. The landlord wants rent for November, December and January up front: 1,500 zł in total.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr Prepaid rent	1,500
Cr Cash	1,500

WATCH OUT

Booking all 1,500 zł as November rent would make November look worse and January look better than they really are.

WHERE IT LANDS

In short: cash changes, profit doesn't

BALANCE SHEET

Cash −1,500 · Prepaid rent +1,500

INCOME STATEMENT

no change

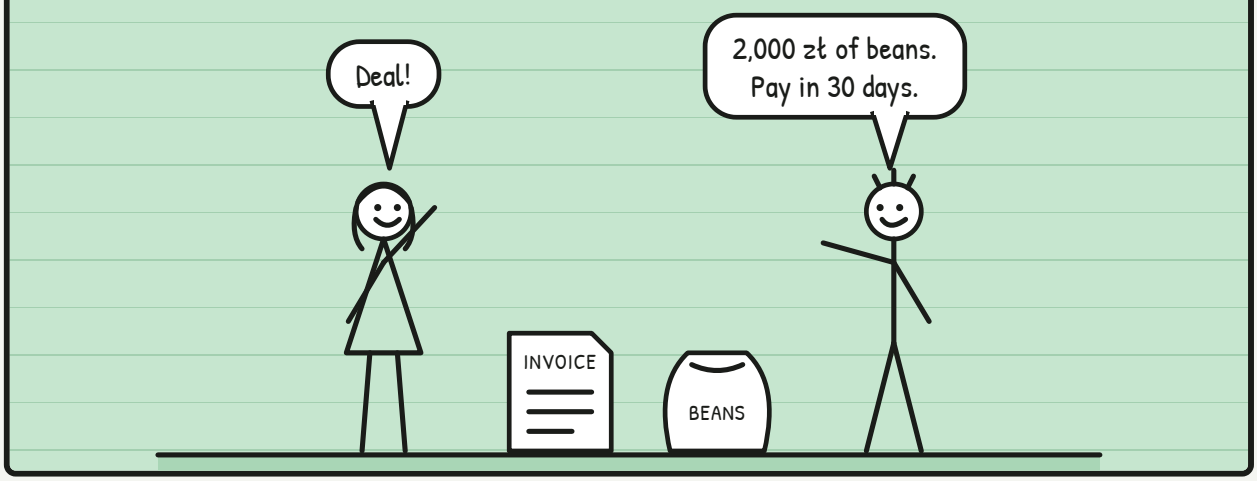
CASH FLOW

Operating activities — rent paid in advance: −1,500 zł

Buying beans on credit

PRINCIPLE: DUAL ASPECT CONVENTION

Day 5. A roaster delivers 2,000 zł of coffee beans. Ania can pay within 30 days.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr Inventory	2,000
Cr Trade payables	2,000

WATCH OUT

Beans on the shelf are not an expense yet. They become one only when they are used to make coffee that is sold.

WHERE IT LANDS

In short: neither cash nor profit changes

BALANCE SHEET

Inventory +2,000 · Trade payables +2,000

INCOME STATEMENT

no change

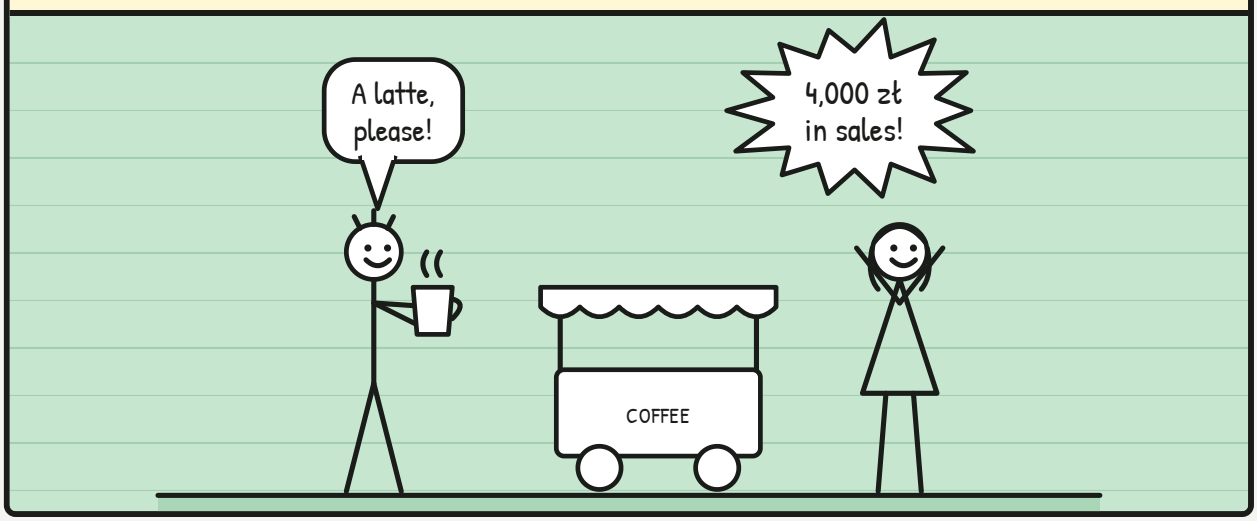
CASH FLOW

no cash moved

Selling coffee for cash

PRINCIPLE: REVENUE RECOGNITION + MATCHING CONVENTION

Days 6–30. Customers queue every morning. In November Ania sells 4,000 zł of coffee to walk-up customers, paid on the spot. Those drinks used 1,200 zł worth of beans.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr Cash	4,000
Cr Revenue	4,000
Dr Cost of sales	1,200
Cr Inventory	1,200

WATCH OUT

Forgetting the beans' cost would show 4,000 zł profit. Revenue and the costs that produced it belong together.

WHERE IT LANDS

In short: both cash and profit change

BALANCE SHEET

Cash +4,000 · Inventory –1,200 · Profit for the period +2,800

INCOME STATEMENT

Revenue +4,000 · Cost of sales –1,200 → profit +2,800

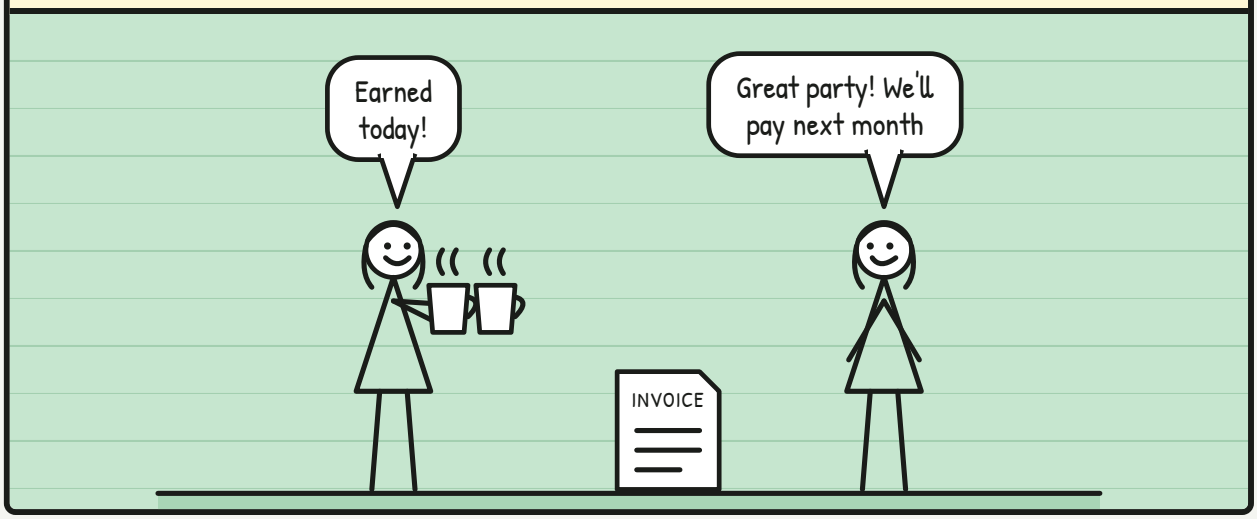
CASH FLOW

Operating activities — cash sales: +4,000 zł

Catering an office party on credit

PRINCIPLE: REVENUE RECOGNITION

Day 20. A nearby office orders coffee for a party: 1,000 zł. Ania delivers today, and payment is due in December. The catering order used another 300 zł worth of beans.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr Trade receivables	1,000
Cr Revenue	1,000
Dr Cost of sales	300
Cr Inventory	300

WATCH OUT

Waiting for the cash before recording revenue is cash accounting. Under accrual accounting, earning is what counts.

WHERE IT LANDS

In short: profit changes, cash doesn't

BALANCE SHEET

Trade receivables +1,000 · Inventory −300 · Profit for the period +700

INCOME STATEMENT

Revenue +1,000 · Cost of sales −300 → profit +700

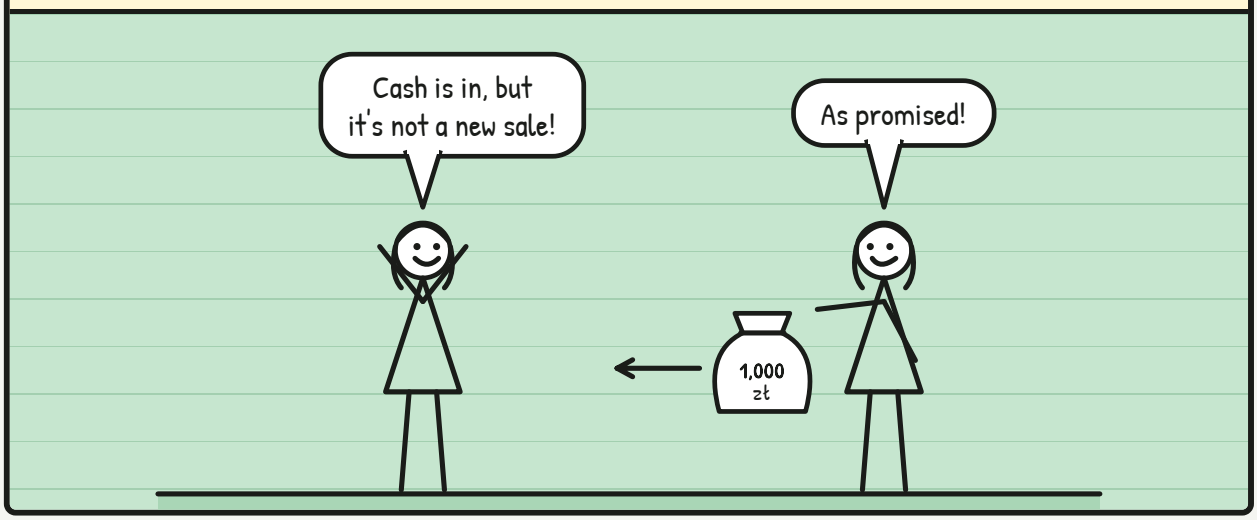
CASH FLOW

no cash moved

The office pays its bill

PRINCIPLE: REVENUE RECOGNITION

Day 28. The office pays the 1,000 zł catering bill early, before it is due in December.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr Cash	1,000
Cr Trade receivables	1,000

WATCH OUT

Recording revenue again when the cash arrives would count the same party twice.

WHERE IT LANDS

In short: cash changes, profit doesn't

BALANCE SHEET

Cash +1,000 · Trade receivables –1,000

INCOME STATEMENT

no change

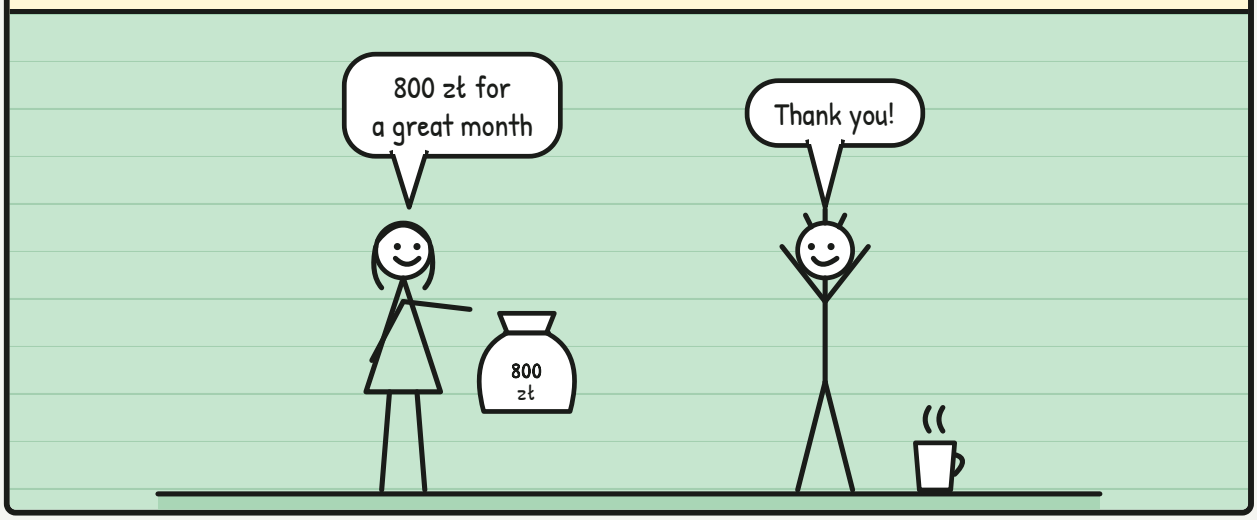
CASH FLOW

Operating activities — cash from a customer: +1,000 zł

Paying the barista

PRINCIPLE: MATCHING CONVENTION

Day 30. Ania's part-time barista, Tomek, worked all month. She pays him 800 zł.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr Wages expense	800
Cr Cash	800

WATCH OUT

Paying Ania herself is different: money the owner takes out is a drawing: it reduces equity, not profit.

WHERE IT LANDS

In short: both cash and profit change

BALANCE SHEET

Cash −800 · Profit for the period −800

INCOME STATEMENT

Wages expense −800 → profit −800

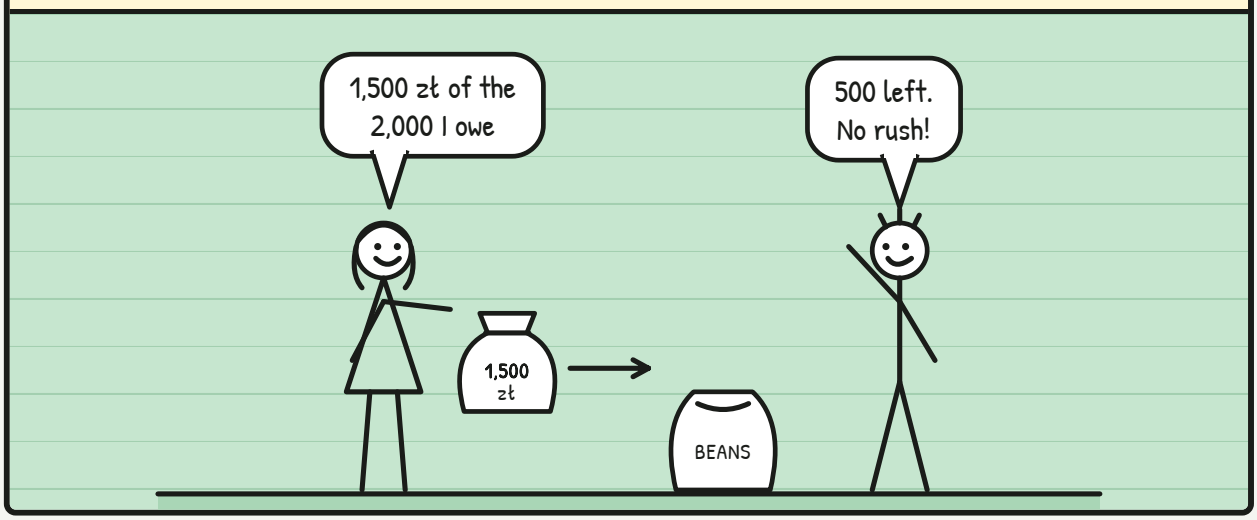
CASH FLOW

Operating activities — wages paid: −800 zł

Paying part of the bean bill

PRINCIPLE: DUAL ASPECT CONVENTION

Day 30. Ania pays the roaster 1,500 zł of the 2,000 zł she owes. 500 zł is still to pay.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr Trade payables	1,500
Cr Cash	1,500

WATCH OUT

Paying a bill is not the same as having an expense. The expense happened when the beans were used.

WHERE IT LANDS

In short: cash changes, profit doesn't

BALANCE SHEET

Cash −1,500 · Trade payables −1,500

INCOME STATEMENT

no change

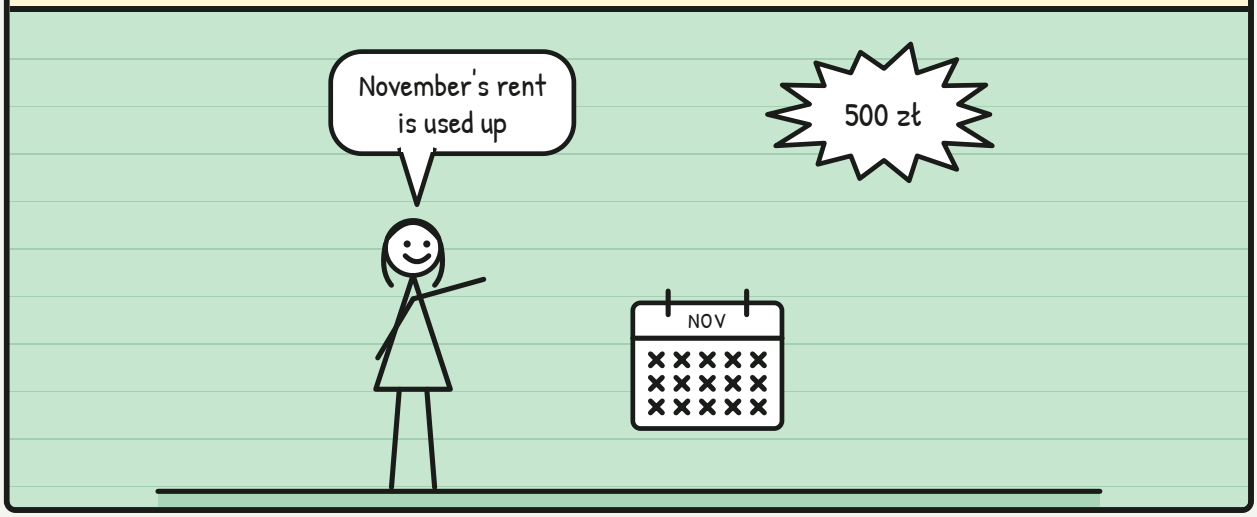
CASH FLOW

Operating activities — payment to the supplier: −1,500 zł

Month end: using up a month of rent

PRINCIPLE: REPORTING PERIOD (ADJUSTING ENTRY)

Remember the prepaid rent from strip 4? 30 November. The month is over. Ania sits down to close the books.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr Rent expense	500
Cr Prepaid rent	500

WATCH OUT

Adjusting entries never involve cash. They fix the timing so each month shows what really belongs to it.

WHERE IT LANDS

In short: profit changes, cash doesn't

BALANCE SHEET

Prepaid rent −500 · Profit for the period −500

INCOME STATEMENT

Rent expense −500 → profit −500

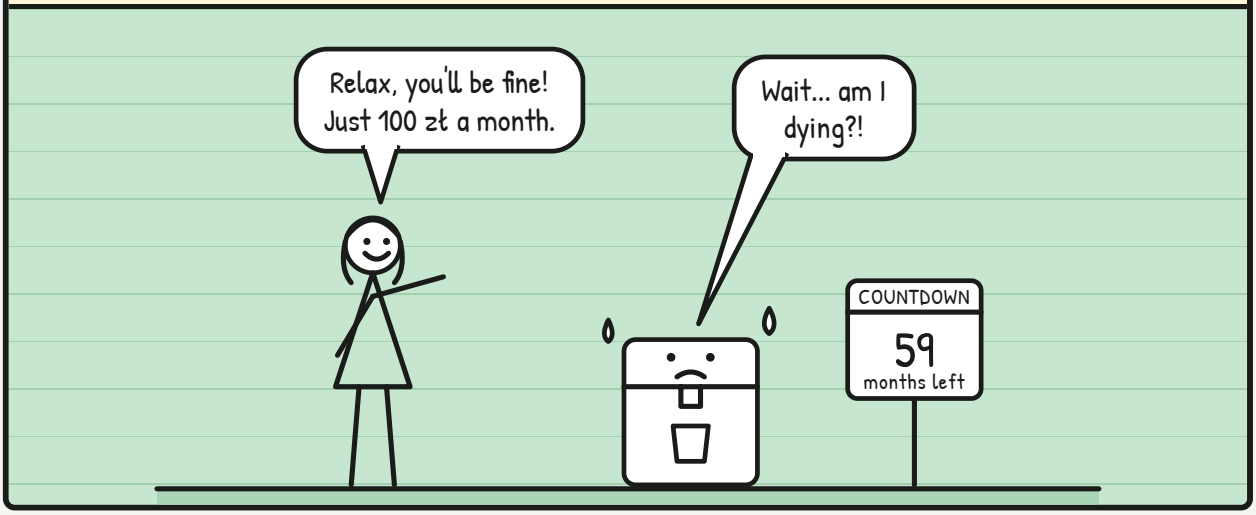
CASH FLOW

no cash moved

The machine wears out a little

PRINCIPLE: MATCHING + GOING CONCERN CONVENTIONS

Remember the espresso machine from strip 3? 30 November. For this example, we assume the machine will be used for 5 years (60 months) and will have no residual value at the end.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr Depreciation expense	100
Cr Accumulated depreciation	100

WATCH OUT

Depreciation uses no cash. That's why profit and cash are different numbers. And a book value of zero after 5 years doesn't mean the machine is worthless on the market, or that it stops making coffee.

WHERE IT LANDS

In short: profit changes, cash doesn't

BALANCE SHEET

Accumulated depreciation –100 · Profit for the period –100

INCOME STATEMENT

Depreciation expense –100 → profit –100

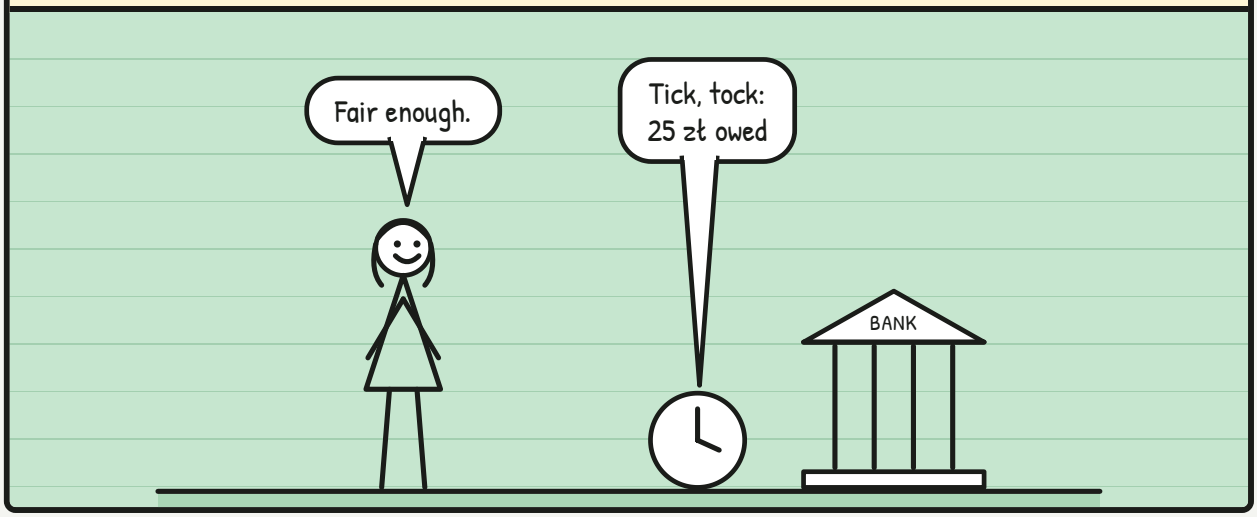
CASH FLOW

no cash moved

Interest builds up on the loan

PRINCIPLE: ACCRUALS CONVENTION

Remember the bank loan from strip 2? 30 November. The bank only collects interest later, but every day of the loan costs a little.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr Interest expense	25
Cr Accrued interest	25

WATCH OUT

Ignoring costs until the bill arrives would make this month look more profitable than it was.

WHERE IT LANDS

In short: profit changes, cash doesn't

BALANCE SHEET

Accrued interest +25 · Profit for the period –25

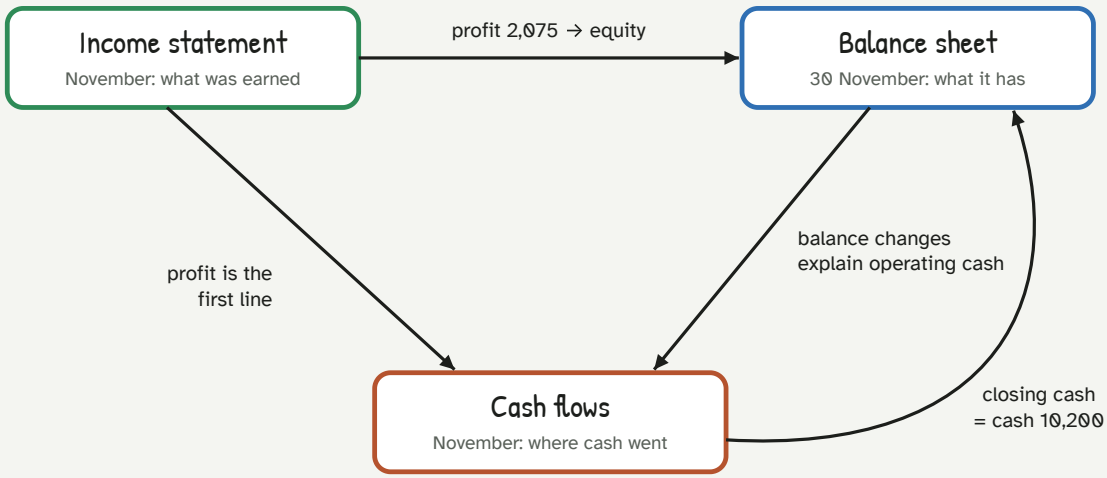
INCOME STATEMENT

Interest expense –25 → profit –25

CASH FLOW

no cash moved

Why profit isn't cash



Why profit isn't operating cash

November · indirect method

Profit for November	2,075 zł
+ Depreciation	+100 zł
– Inventory still on hand	−500 zł
– Rent paid in advance	−1,000 zł
+ Unpaid supplier and interest bills	+525 zł
Operating cash flow	**1,200 zł**

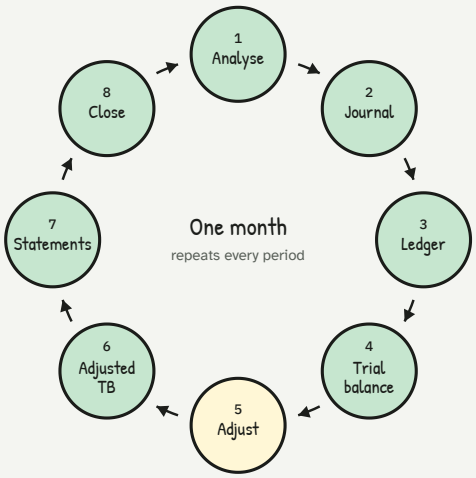
From operating cash to cash in the bank

November

Operating cash flow	1,200 zł
Investing: machine purchase	−6,000 zł
Financing: owner + bank	+15,000 zł
Closing cash	**10,200 zł**

Three different numbers, all correct: profit 2,075 zł, operating cash flow 1,200 zł, cash in the bank 10,200 zł. The cash flow statement can also be shown with the direct method; this is the indirect one.

Accounting cycle



1. **Analyse the transaction**
   Beans arrive on credit (strip 5): inventory, an asset, goes up; trade payables, a liability, go up.
2. **Record it in the journal**
   Dr Inventory 2,000 / Cr Trade payables 2,000.
3. **Post to the ledger**
   After strip 10 the cash account shows 10,200 zł.
4. **Unadjusted trial balance**
   Debits 20,500 = credits 20,500.
5. **Adjusting entries**
   Rent used 500, depreciation 100, interest 25 (strips 11–13).
6. **Adjusted trial balance**
   Debits 20,625 = credits 20,625.
7. **Prepare the statements**
   Profit 2,075 zł; total assets 17,600 zł; closing cash 10,200 zł.
8. **Close the period**
   2,075 zł moves into Ania's equity. December starts again at step 1.

Ania's trial balance: debits = credits at every stage

Before adjusting (after strip 10)	20,500 = 20,500
Month-end adjustments: rent, depreciation, interest	625 = 625
After adjusting	**20,625 = 20,625**

Month-end adjustments add the same amount to both sides, so the totals still match.

Watch out: a trial balance can balance and still contain mistakes. If an entry goes to the wrong account, debits and credits still match.

Easy to mix up

MISTAKES ANIA ALMOST MADE

- "Taking a loan is income"
  Actually: It's a liability: the money must be paid back. Strip 2.
- "Buying a machine is an expense"
  Actually: It's an asset. Its cost is spread over the years as depreciation. Strips 3 and 12.
- "Buying coffee beans (inventory) is an expense"
  Actually: They stay inventory until used. Then they become cost of sales. Strips 5–7.
- "Cash received is revenue earned again"
  Actually: Revenue was earned on day 20. The cash on day 28 just settles the debt. Strip 8.
- "Profit means cash in the bank"
  Actually: Profit 2,075 zł, cash in the bank 10,200 zł, operating cash flow 1,200 zł. See "Why profit isn't cash".
- "Depreciation saves money for a new machine"
  Actually: It's only an entry. No cash moves and no savings pot appears. Strip 12.

OTHER USEFUL THINGS TO KNOW (not in Ania's story)

- "A customer's deposit is revenue"
  Actually: It's a liability until you deliver. Then it becomes revenue.
- "VAT on a sale is revenue"
  Actually: It's collected for the tax office. Revenue is the amount without VAT.
- "A loan repayment is an expense"
  Actually: Only the interest part is. Repaying the principal just reduces the debt.
- "The owner's own pay is a wage expense"
  Actually: For a sole trader it's a drawing: it reduces equity, not profit.
- "Credit on my bank statement = credit in my books"
  Actually: The bank writes from its side. Money arriving is a debit to Cash in your books.

The statements

INCOME STATEMENT

November

Revenue	5,000
Cost of sales	(1,500)
Gross profit	**3,500**
Rent expense	(500)
Wages expense	(800)
Depreciation	(100)
Interest expense	(25)
Profit for the period	**2,075**

STATEMENT OF CASH FLOWS

November

Operating activities	1,200
Investing activities	(6,000)
Financing activities	15,000
Net change in cash	**10,200**

Ends at cash on the balance sheet: 10,200 zł.

Inventory check: beans bought 2,000 − used for walk-up sales 1,200 − used for catering 300 = **500 zł** still on the shelf.

BALANCE SHEET

30 November

ASSETS	
Cash	**10,200**
Trade receivables	0
Inventory	500
Prepaid rent	1,000
Equipment (PPE)	6,000
Accumulated depreciation	(100)
Total assets	**17,600**
LIABILITIES	
Trade payables	500
Accrued interest	25
Bank loan	5,000
Total liabilities	**5,525**
EQUITY	
Owner's capital	10,000
Profit for the period	2,075
Total equity	**12,075**
Liabilities + equity	**17,600**

✓ **Balanced: 17,600 = 17,600**

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About this guide

This is my attempt to make the accounting basics stick by turning them into a story. The story, text and drawings are original; the accounting behind them is standard theory, pieced together from textbooks, courses and articles. Made with a little help from my AI pal, Claude.

Simplified educational example. VAT and income tax are excluded. Actual accounting requirements depend on the business structure and reporting framework.

Next step: try the interactive version

Take the quiz: guess what changes before you look · watch the statements fill up step by step · save the guide for later.

barmaleika-ya.github.io/ania_coffee_cart